The Entrepreneur and Entrepreneurial Processes

HA, 4. semester

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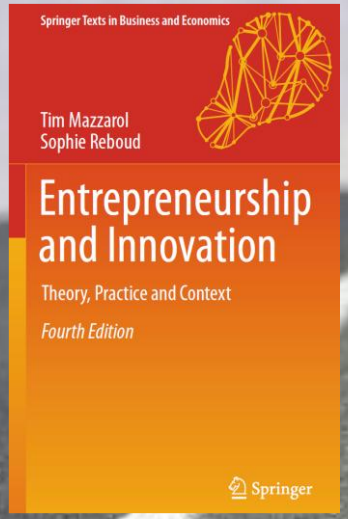
Agenda (textbook issues +)

- A) Why care about Entrepreneurship? Motivation for studying and practicing Entrepreneurship.
- B) What it is – definitions, links to innovation
- C) Understanding – how it is perceived (theory)
- D) Inducement – what drives Entrepreneurship/ Entrepreneurs? (or not)
- E) Measurement (if time permits)

The study (and practice?) of entrepreneurship – burdensome, hard, but rewarding.

In this part of the course:

- **Check Moodle for updates, reading guidelines**
- **Slides = tool for you**
- **While staying true to the text, lectures not just reproduce, rather interpretate, structure, provide perspectives**
- **Help the teacher! (and yourself) Speak out! Flexible planning and level.**



- Why care about studying Entrepreneurship?

Just another buzzword?

- **Maybe, to some extent, but importantly:**

- **Entrepreneurship is vital to both new businesses and business development within firms!**

- **More broadly, skills related to Entrepreneurship (enterprise) are generic and useful in many contexts! Applies to creativity also (later)**

What is entrepreneurship and who is the entrepreneur?

- Entrepreneurship
  - A proces.
- Entrepreneurs
  - The carrier of the proces
    - 'Who is an Entrepreneur? Is the wrong question' (B. Gartner et al., 1988)
    - ***"Entrepreneurship is a strategic process that starts at the individual level and moves through the organisational level to the macro environment" (textbook p.2)***

Numerous definitions on entrepreneurs/-ship

"Entrepreneur" from the French "entreprendre"meaning to undertake

Richard Cantillon (1680-1734) associates the entrepreneur with: "... *Someone who engages in exchange for profit: Specifically, he or she is someone who exercices business judgement in the face of uncertainty*"

"Entrepreneurial activity **– is enterprising human action in pursuit of the generation of value through the creation or expansion of economic activity by identifying and exploiting <u>new products, processes or markets</u>.**
Entrepreneurship **– is the phenomenon associated with entrepreneurial activity (OECD 2009).**

Describing the Entrepreneur - (again) as describing The Heffalump

- *"... A rather large and important animal. He has been hunted by many individuals using various trapping devices, but no one so far has succeeded in capturing him. All who claim to have caught a sight of him report he is enormous, but disagree on his particularities" (Kilby, 1971)*

- *People often referred to as entrepreneurs:*

Broad/narrow perceptions of entrepreneurs?

- Entrepreneurs – a variety of types:
  - Founders of businesses. The common perception.
  - But diversity! A range of other types:
    - franchise
    - small retail shops
    - self-employed service business
    - **Social entrepreneurship, student entrepreneurship, green e., 'everyday entrepreneurship' (lecture 8)**
  - Debate on whether e. need to be innovative.

  - *NB: also individuals who undertake entrepreneurial activities within an existing organization:*

Entrepreneurs within firms

- **- 'intrapreneurship'**

- **Schumpeter**: ***We call Entrepreneurs not only those 'independent' businessmen in an exchange economy who are usually so designated, but all who actually fulfil the function by which we define the concept, even if they are, as is becoming the rule, 'dependent' employees of a company, like managers, ….as it is the carrying out of new combinations that constitutes the entrepreneur, it is not necessary that he should be permanently connected with an individual firm.***

(TED,1934, p.74)

One of the most established, cited, definitions:

"***entrepreneurship is a process by which individuals – either on their own or inside organisations – pursue opportunities, without regard to the resources they currently control***" **(Stevenson and Jarillo, SMJ, 1990)**

Intrapreneurship – why and how? (more on this later)

Intrapreneurship is often strategically stimulated:

The Intrapreneurial process begins with the establishment of an entrepreneurial culture or spirit in the existing organisation in order to innovate.

Motivations for firms to pursue intrapreneurship:

Objectives on strengthening core competencies

Recruit and keep innovative employees

Push and reward new ideas and innovativeness as response to competitive pressure

Types of Entrepreneurs (modified from p.15, textbook)

	Self-employed	Employeed
Entrepreneurial (creative)	Schumpeterian entrepreneurs/ inventors	Intrapreneurs
Managerial	Managerial business owners	Executive managers

- **Measurement!?!**
- **Statistical information only on ownership dimension. So only self-employed are measured.**
- **Intrapreneurs part of entrepreneurship, but not measured at all**
- **Other measures of entrepreneurship?**

- **Indications that Intra-/Entrepreneurship and Innovation is by and large the same:**

- In daily speach, including policy circles, the concepts are sometimes used interchangeable.

- **A number of journals have both in their title:**
  - Journal of Innovation and Entrepreneurship,
  - International Journal of Entrepreneurship and Innovation Management
  - Technovation: The International Journal of Technological Innovation, Entrepreneurship and Technology Management,
  - and several more. Also - a number of academic conferences, similarly use both in title and encompass both issues

- **On the other hand:**

- **We know that many new start-ups are not innovative**

- **And we know that many inventions never reach the implementation stage, not alone become the basis of a start-up**

So, let's re-cap:

Definitions of Entrepreneurship and links to innovation. OECD mentions that…

- *Entrepreneurs* – are those persons who seek to generate value through the creation or expansion of economic activity by identifying and exploiting new products, processes or markets.
- *Entrepreneurial activity* – is enterprising human action in pursuit of the generation of value through the creation or expansion of economic activity by identifying and exploiting new products, processes or markets.
- *Entrepreneurship* – is the phenomenon associated with entrepreneurial activity (OECD 2009a).

- **Indicates that Innovation and entrepreneurship are (often) closely linked processes**

- **However, there are also differences in the unit of analysis**
  - **Entrepreneurship studies often focuses on the organisation as a whole**
  - **Innovation studies tend to focus on the single innovation and change within an organisation**

A closer look at the entrepreneurs/-ship – portrayed as heroes?

- Start-up owners – sometimes perceived as a glorious, prosperous way of pursuing career.

- Textbook talks about social status and attention of entrepreneurs in media, and link this to different types of economies (section 1.2.)

- **yes? Apparently another, less rosy picture.**
- **Disadvantages =?**

- **Wright and Zahra (and Ket de Vries): 'The Dark Side of Entrepreneurship' (section 2.12 in textbook)**

A closer look at the entrepreneurs – costs and side-effects?

- **We know a lot about entrepreneurship, but little on the human and societal costs related to entrepreneurship.**
  - **Therefore amble room for misperceptions**
  - **In reality, entrepreneurship has historically produced a number of side-effects:**
    - **Disruptions, dysfunctional entrepreneurial activities, inequalities, corruption and undermining of competition**
    - **Personal and family effects – happiness?, debt, social isolation, stress, burnout..**
      - **Wright and Zahra (Ket de Vries): 'The Dark Side of Entrepreneurship'**

Dichotomies on entrepreneurs' personalities – everything has a flip-side

- **Persistence – rigidity**
- **Passion – obsession**
- **Committment – perspectives**
- **Independence – social isolation**
- **Need for achievement – fraud, corruption**

- **Wright and Zahra (Ket de Vries): 'The Dark Side of Entrepreneurship'**

The costs and side-effect of entrepreneurship

- **Wright and Zahra do not dispute the important role entrepreneurs play in a free market system but warns that:**

"…. educational programs at universities and elsewhere are needed to go beyond the romanticism often attached to entrepreneurship by turning rosy spectacles into clear ones. Such programs may help some potential entrepreneurs recognize that entrepreneurship is not for them but without undermining the importance of sustaining an entrepreneurial culture".

Entrepreneurship – importance/drivers

Still – entrepreneurship has become more important over the past few decades.

Why?

- **Role models?**

- **Related to the way production, innovation, organisations, work, etc. is organised today?**

The positive narrative – role models?

- **Research demonstrates that entrepreneurial role models in the same region strongly influence the adults' decision to start a business, as well as reducing fear of failure.**

(Wyrwich, M., Sternberg, R., & Stuetzer, M. (2019). Failing role models and the formation of fear of entrepreneurial failure: A study of regional peer effects in German regions. *Journal of Economic Geography*, 19(3), 567–88.)

Dragons den!? Value?

The growing importance of Entrepreneurship

- **‘New’ organisation of production:**

- **The upsurge of impact of small businesses (Birch, 1979)**
- **Large firms mimick smallness, e.g. downsizing (textbook: US lost 5 million jobs bec.of downsizing but gained 34 mill. new establishments)**
- **Flexible automation**
- **Industry 4.0. (AI, IoT,„,) – many jobs become obsolete**
- **Structural shift in industry – the service industry**
- **Diseconomies of scale – ‘lean start-ups’, free-lancers, indep. professionals (‘nano-enterprises’)**
- **Vertical disintegration, outsourcing**
- **Declining costs of transactions**

Entrepreneurial dynamics. Links to growth? Gazelles and other creatures.

- **Discussion on *elephants, gazelles and mice***

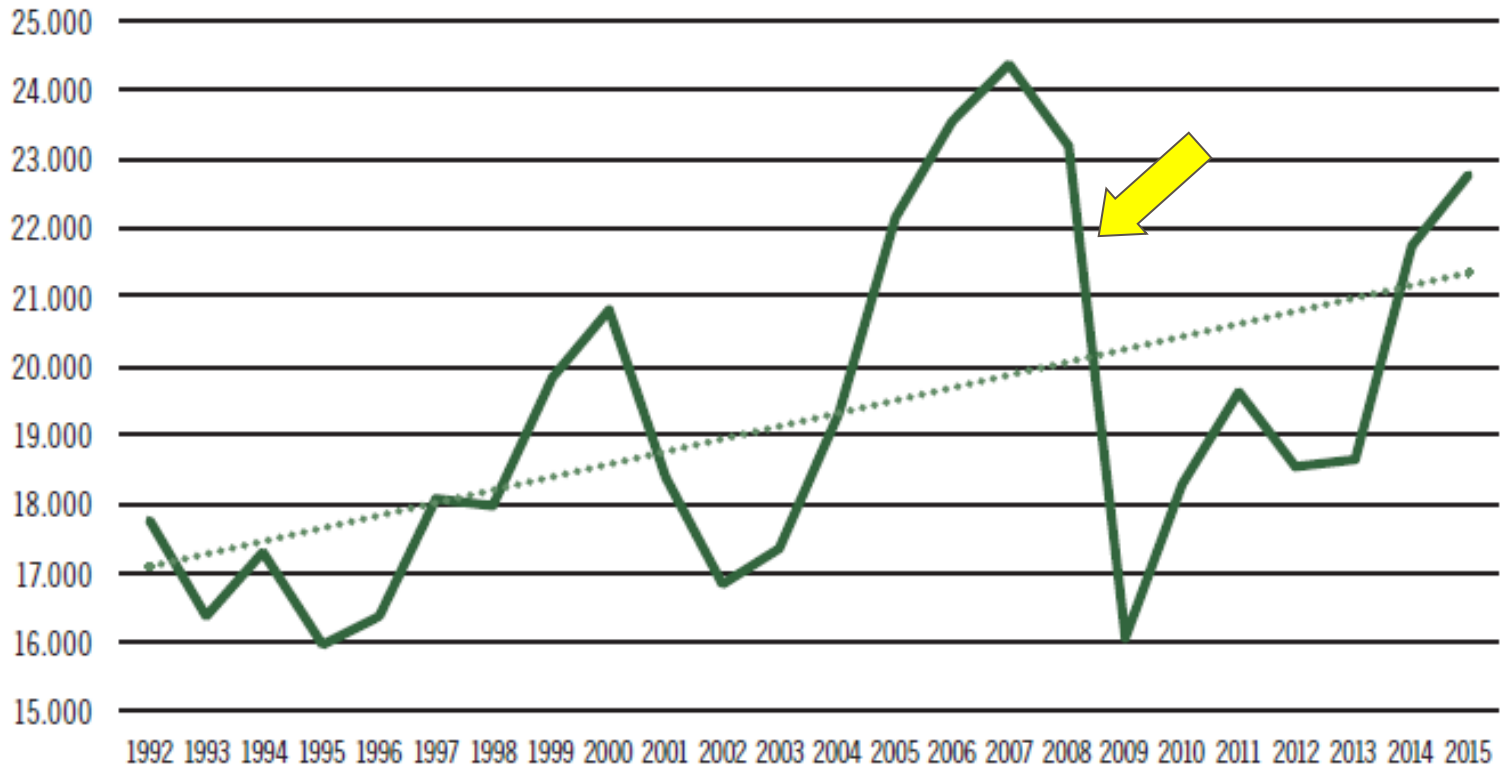
- **Gazelles (measure of – av. growth > 20% over 3 years and < 5 yrs old)**
  - ***Generate disproportional large share of new jobs***
  - ***Are younger on average***
  - ***Not necessarily of a particular size***
  - ***Not necessarily in high-tech industries***

- **Mice vs. gazelles debate – complementary: employment in mice crucial to overall employment and a pre-requisite for generating new gazelles**

- **The link between entrepreneurship and ec. growth not straith-forward.**

- **And large variation over time in how many firms are established -**

Volatile development - Establishments over time. The impact of context



Source: Statistics Denmark and 'Iværksætterbarometer', 2016.

Theoretical perspectives on Entrepreneurship = multidisciplinary:

- **1. Economic theories – The role of the entrepreneur in economic development.**
- **2. Psychological trait approach - Personality characteristics of the entrepreneur.**
- **3. Social behaviour approach - Influence of the social environment.**
- **(What happens, why they act, how they act) (Stevenson and Jarillo, SMJ, 1990)**

1. Economic theories

(ch.1 in textbook)

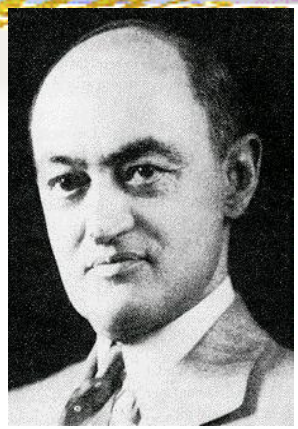
The Entrepreneur is close to absent in conventional economic theory: Neoclassical ec.theory – an organiser who co-ordinates different factors of production: land, labour and capital. - J.B.Say, Cantillon

- Contrary, some economic writers see the entrepreneur as having a significant role in economic development.
  - Ability to spot opportunity - Kirzner
  - Innovator, agent of change - Schumpeter
  - Risk taker - Knight
  - Organiser of resources - Casson
  - Creativity - Shackle

1. Economic theories - *Kirzner*

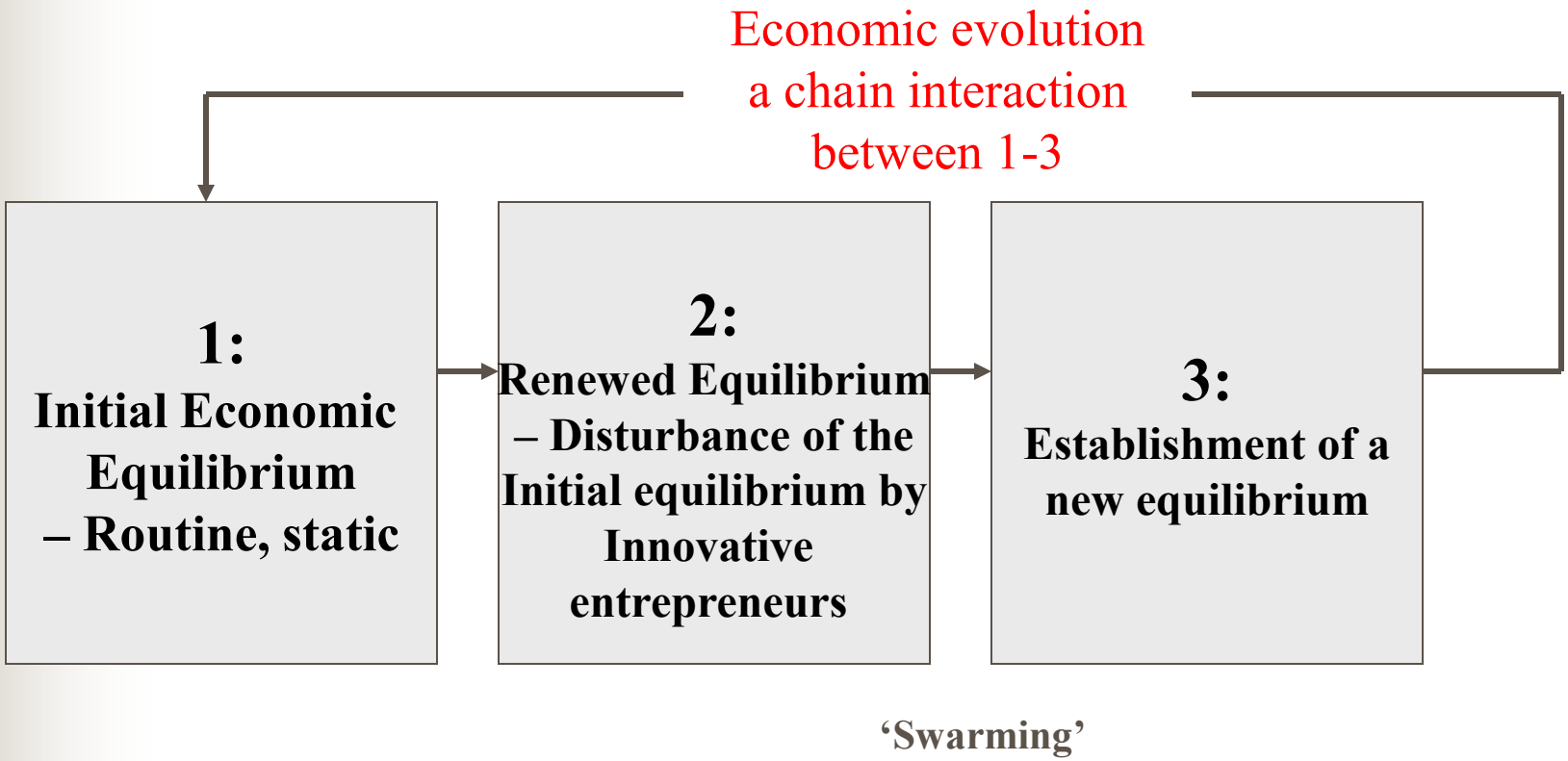
- <u>"Austrian" School of thought</u>
  - The entrepreneur is seen as crucial to economic development and a catalyst for dynamic change in an economy.
  - Fulfil this role by way of
    - Being alert to profitable opportunities for exchange.
    - Acts as the middleman who facilitates exchange (knowledge and information).
    - Has additional knowledge which enables the recognition and exploitation of an opportunity, which can be a creative discovery.
  - *Examples ??*

1. Economic theories -*Schumpeter*



- The entrepreneur is a special person who brings change. "*To destroy the existing economic equilibrium in an act of creative destruction ... and to profit from the new order*". - Schumpeter 1934
- The entrepreneur is an innovator - but may find it difficult to establish a new innovative small firm.
- Hence, the entrepreneur is concerned with the *development of* new technologies, processes and markets (not only adjustments and intermediation as Kirzner).

The Economic Approach – Schumpeter's Evolutionary Waves of the Economy



1. Economic theories -*Schumpeter*

Mark II – Schumpeter realize important changes in how the economy (E&I) works and modifies:

- Entrepreneurship is temporary as technological advancement and change could be carried out by teams operating in large organisations.
- The small firm faces disadvantages in research and development (R&D). R & D is expensive, has long lead times, teams in large firms have advantages.
- The entrepreneur may exist in large firms as an "intrapreneur".

1. Economic theories -*Knight*

- Risk and uncertainty
- An entrepreneur undertakes risk in an uncertain world – parts of risk that cannot be covered by insurance.
- Manager – entrepreneur. Agency theory.

1. Economic theories -*Shackle*

- Kaleidoscope - uncertainty
- Creativity and imagination. Everyone may become an entrepreneur.
- Education and other characteristics influence whether the person is prepared to search and exploit opportunities

1. Economic theories -*Casson*

- The entrepreneur has special skills and will use these to reallocate resources.

- Entrepreneurs must have access to resources. The number of entrepreneurs is a function of access to resources and expected returns from uncertain investments

1. Economic theories – *in sum*

- Taken together, all these guys provide a multi-faceted (economic) picture of the entrepreneur and of entrepreneurship, each of them emphasizing different perspectives

2. Psychological trait approach

- Identifies personality characteristics or traits.
- Entrepreneurs have innate abilities not possessed by others.
- Suggests that the supply of potential entrepreneurs is limited, thus there is little to be gained from direct intervention to encourage entrepreneurship. (ways of enhancing entrepreneurship later)
- ***(born – made discussion)***

2. Psychological trait approach

Ideal type (textbook, other groupings exist)

- High need for Achievement (McClelland)
- Self confidence and high internal locus of control
- Risk-taker (calculated/moderate)
- Need for independence
- Ambiguity tolerance
- Creativity and innovativeness
- Entrepreneurs as deviants

2. Critisism of Psychological trait approach

- **The idea of a limited supply of potential entrepreneurs – realistic?**
- **Many special "entrepreneurial" abilities and skills could be applied to successful managers. Measurement??**
- **Characteristics can also be acquired – not only innate. Learning disregarded.**
- **Ignores environmental factors.**
  - **Textbook (p.36): "This approach eventually reached a dead end, …" and "A response to the limited success of the trait approach has been to view enterprise creation in context"**

3. Social behaviour approach (sociology)

Theories occupied with explaining entrepreneurship by

- Social marginality, people who are displaced or dislocated or do not fit large organisations
  - Rendered hypotheses and studies on..
- Family background, position
- Educational Background
- Gender, women's enterprise
- Ethnic minority enterprise, refugees
- Networks and role models

Empirics – one way to measure entrepreneurship is pursued in the GEM studies

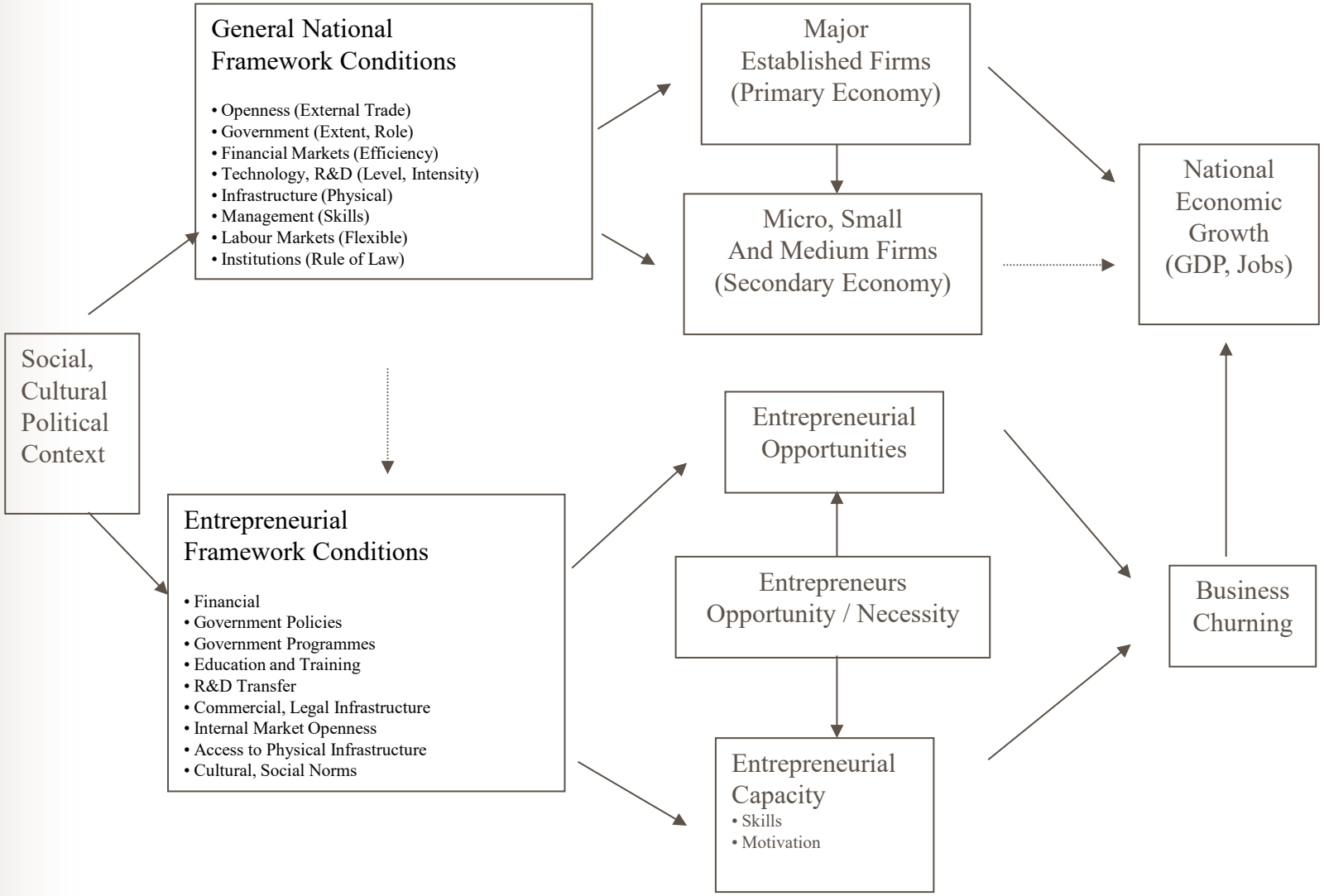
(‘Global Entrepreneurship Monitoring’)

GEM studies – getting closer to entr. dynamics

Purpose, coverage, data, method

- Purpose –to describe, explain and benchmark major differences in entrepreneurship activity, which may render inspiration for policy discussions. ”*How much do countries differ in terms of entrepreneurial activity? What are the national consequences of differences in entrepreneurship? What accounts for national differences in entrepreneurship? What can governments do to affect the level of entrepreneurship?”*
- coverage – 51 countries in 2024. Began in 1999 – 25yrs data.
- data – 4 types of data:
  - Survey of randomly picked adults in each country
  - Personal interviews with national experts
  - Questionnaire by national experts
  - International data sources (IMF, ILO, UN, World Bank)
- method – combination of data analyses and conceptual model

GEM basic Model behind economic dynamics



GEM Research and data – the survey part

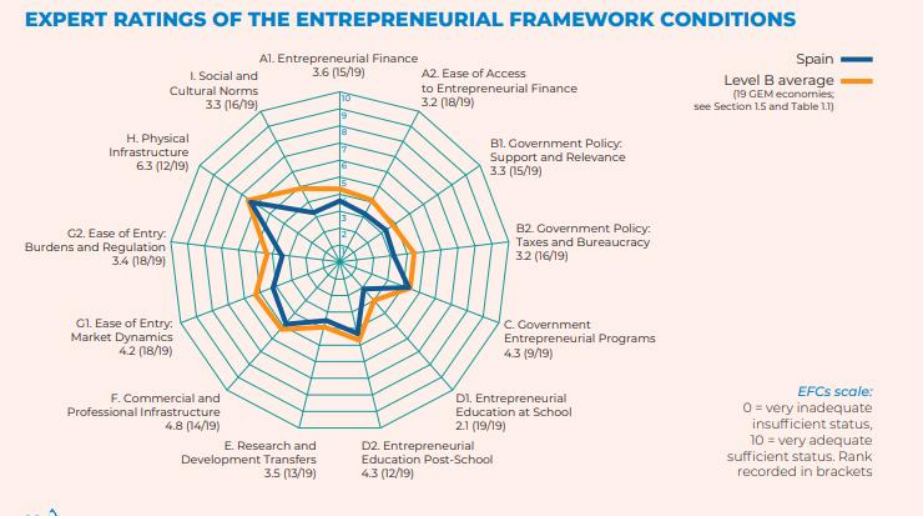
- Extensive Adult Population Surveys: A minimum of 2,000 adults were selected in each country for a random sampling survey using a common survey guide. Use of a mix of face-to-face or telephone interviews, in cases and increasingly supplemented by online participation
  - ✓ The results of the analysis are drawn from the responses of the working age group (18 to 64 years old).
  - ✓ In 2024 a total of 150.000 individuals in 51 countries were surveyed by GEM. (now not done in Denmark!). Collectively represent more than 63% of the world's population, more than 77% of global GDP
  - ✓ Different to other statistics: "APS captures the attitudes, behaviours and expectations of individual adults, which makes it very different from surveys of businesses and firms, and different from official government statistics such as business registrations. This is important because the APS data provide insight into the individual decision to start or continue a business, and the entrepreneurial journey from intentions through to business conception, and business birth.." GEM, 2021, p.21

Other GEM Research Methodology & Data Sources

- Country Experts Interviews

- ✓ Each GEM national research team interviewed a minimum of 36 national key informants using a common structured questionnaire. The key informants include entrepreneurs, investors, government policy makers and venture support professionals. In 2024 more than 2000 interviews.

  - ✓ The informants were asked to assess the environment for entrepreneurship in their country along several dimensions such as:
    - Financial Support
    - Government Policies
    - Government Programmes
    - Education and Training
    - Research and Development Transfer
    - Commercial and Professional Infrastructure
    - Barriers to Entry
    - Access to Physical Infrastructure
    - Cultural and Social Norms



Total early-stage Entrepreneurial Activity (TEA)
* Definition *

The TEA rate is the proportion (%) of the adult population in a country who are either actively engaged in starting a new business (the nascent entrepreneur) or owning and managing a new business (the new business owner), minus any who are doing both (to avoid double counting).

- Stability over time of this indicator indicates
  - Validity
  - That start-ups may be a basic structural feature of economies

Levels of Total early-stage Entrepreneurial Activity (% TEA) in 2019, 2021 and 2023
Source: GEM Adult Population survey 2023

What are your observations on this?

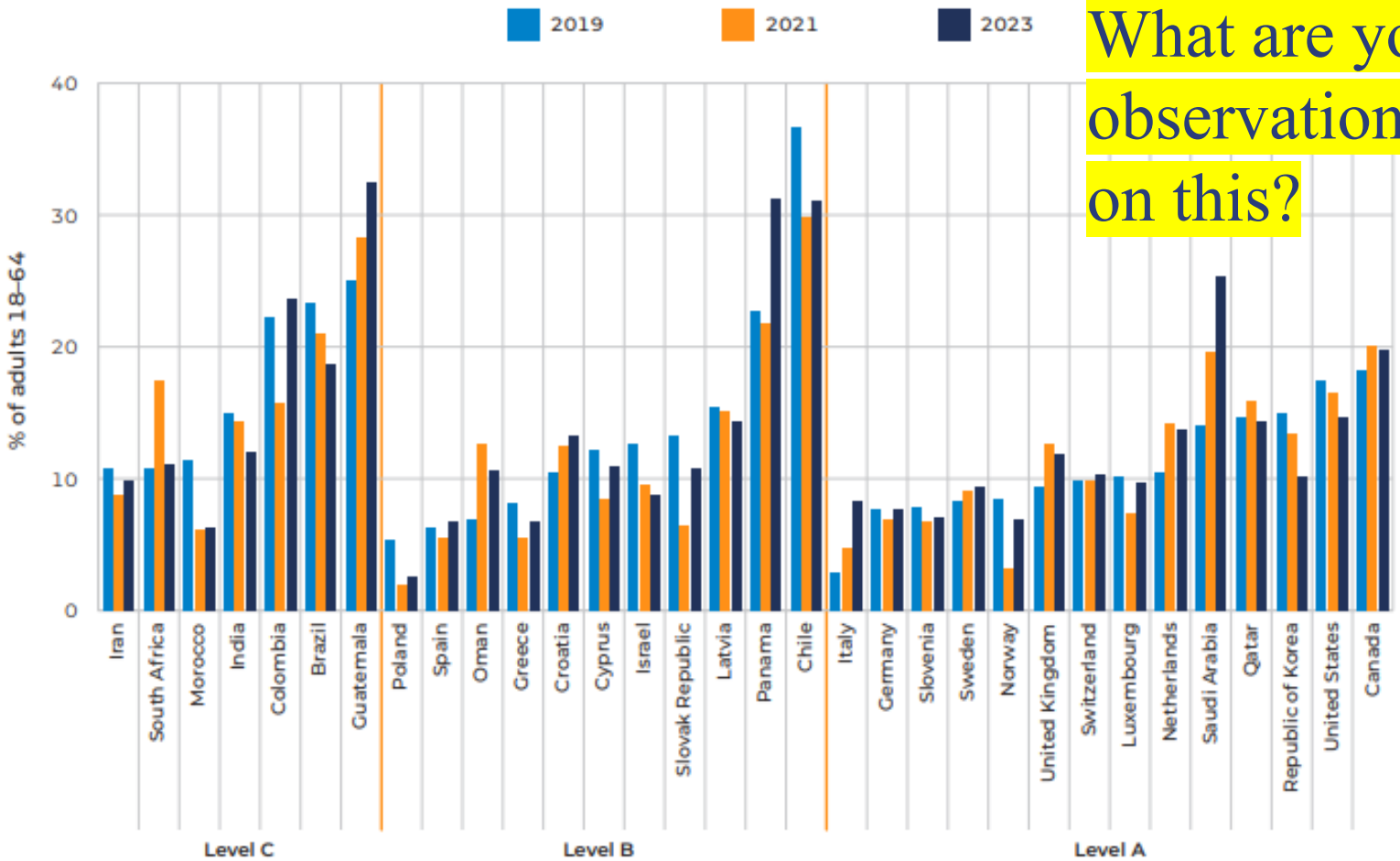


FIGURE 4.3 Total early-stage Entrepreneurial Activity (TEA), 2019, 2021 and 2023 (% adults)
Source: GEM Adult Population Survey 2023

Entrepreneurial activities in different countries

- Different cultures with different systems, attitudes and infrastructure can result in high/low levels of entrepreneurial behaviour.

- Hypothesis: The level of co-operation, trust and networking is a key factor determining the level of entrepreneurship in different cultures. (remember innovation systems literature, CRO)

- *But*: Factors which may be important and conducive to entrepreneurial activity in one country may be restrictive in another. E.g. strong networks are important in India but can be prohibitive in Turkey.

Entrepreneurial activities in different countries

Advanced countries

- Generally: The degree of networking is characteristic for entrepreneurship in advanced countries
- Based on social exchange of firms (rather than economic).
- The relationship between firms is a “network”.
- The development of trust and co-operation can ensure the efficient operation of the network.
- Interactions can render economies of scope, and help overcome resource and knowledge constraints. SMEs.
- Firms develop and maintain relationships with other firms in the network e.g. suppliers, customers (vertikal n.w.) and competitors (horizontal nw).

Entrepreneurial activities in different countries

Emerging economies

- The entrepreneur and small firms have always played a role in economic development e.g India, Brazil.

- Vast differences in cultures and levels of entrepreneurial activity – but also in the character of entrepreneurial activity. E.g. India – network, clusters.

- Some emerging economies have high levels of entrepreneurial activity (GEM). Linked to context.

GEM illustrates a basic point re entrepreneurship:

- Entrepreneurship is shaped by individual intentions and personalities, but behaviour unfolds in an interaction with conditions and contexts

- - political, social, cultural, economic, legal, framework conditions…

Sum up – discussion of Entrepreneurship today

- Definitions and dimensions
- Impact – motivation for entrepreneurship
- The entrepreneur and the entrepreneurship process, conceptually and practical
- Entrepreneurship in different contexts
- Measurement of entrepreneurship

Think-point for next (4th lecture) time:

Why do entrepreneurs start businesses and why do these small businesses fail?

- ?? Your suggestion: -----